

Bajaj Finserv Ltd

BAJAJFINSV · Financials

ROE

25.9%

ROCE

11.4%

Net Profit Margin

14.1%

Debt-to-Equity

4.79

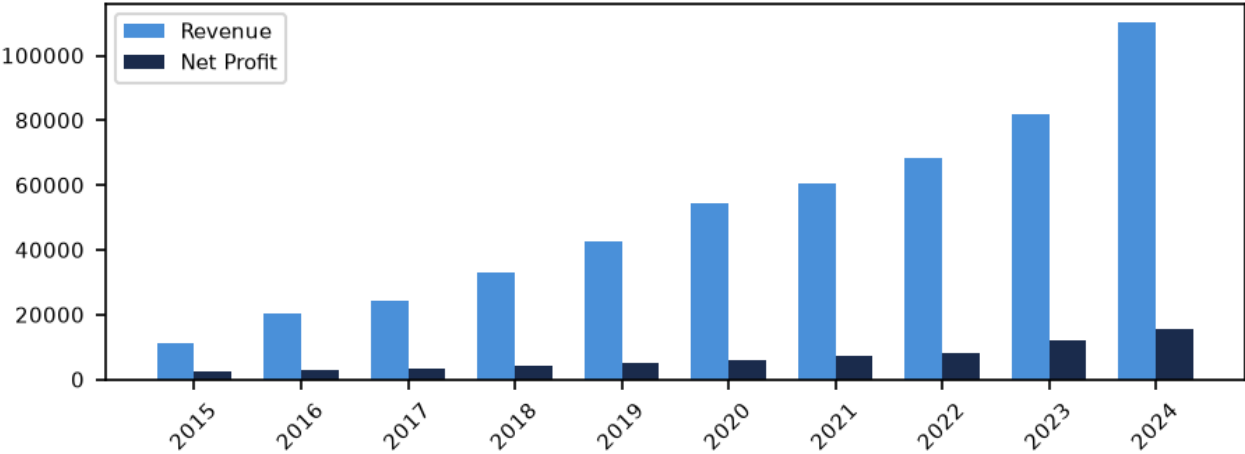
Revenue CAGR (5yr)

21.0%

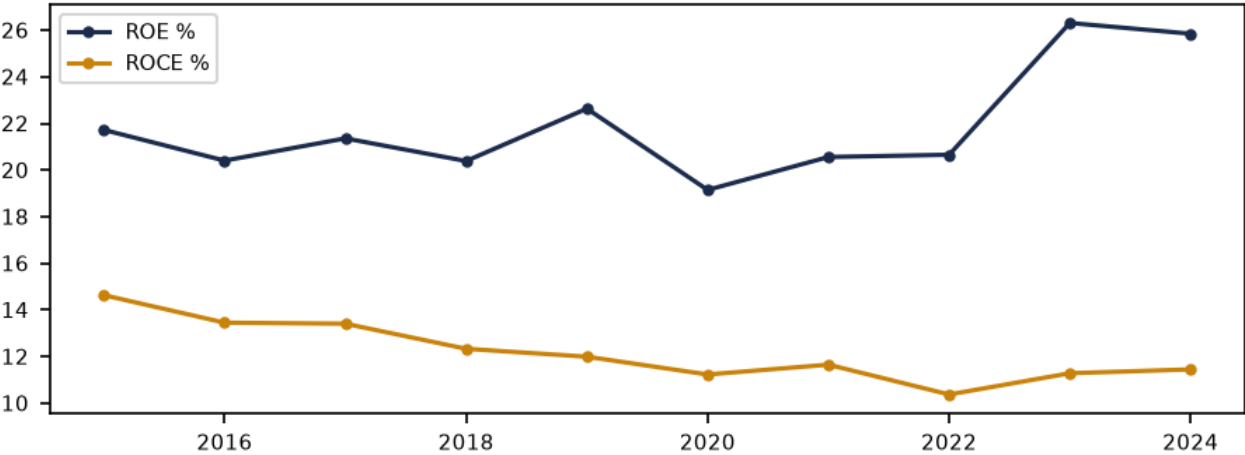
Free Cash Flow

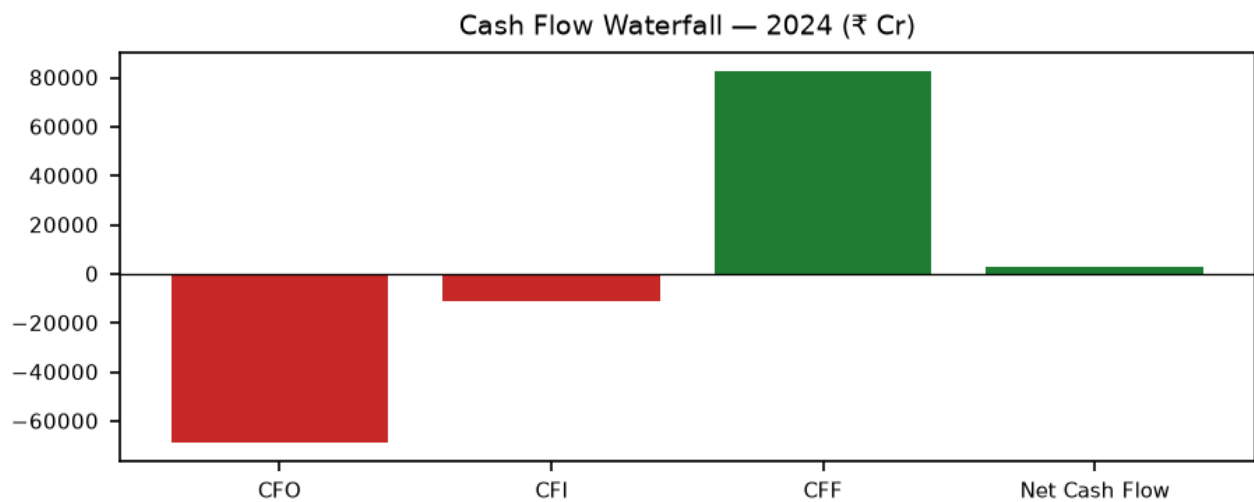
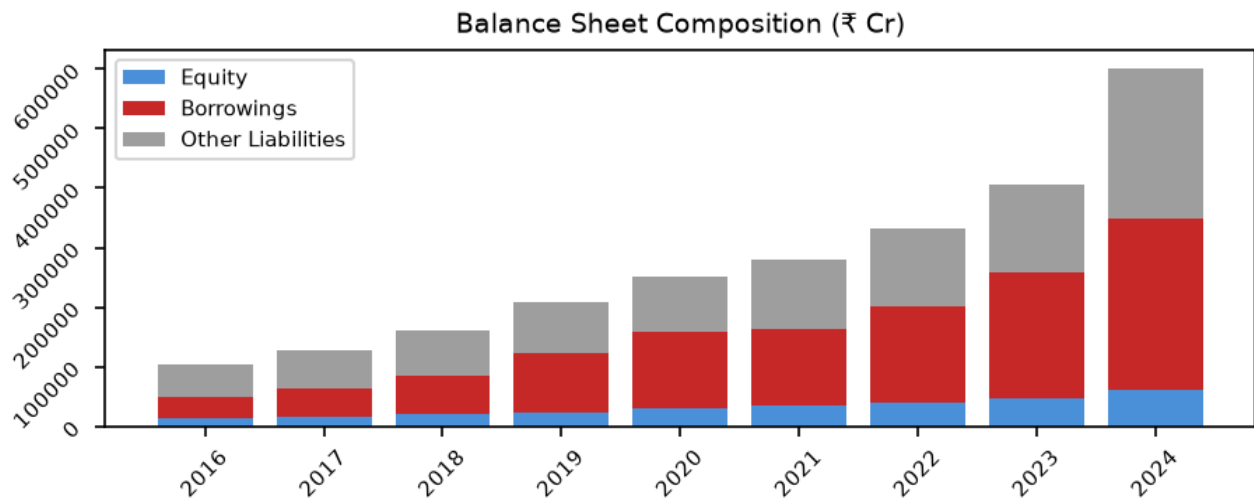
■ -79,634 Cr

Revenue vs Net Profit (₹ Cr)



ROE vs ROCE Trend (%)





Pros

- ✓ Revenue growing slower than profits shows improving operating leverage and scale benefits
- ✓ Operating profit margin above 25% indicates strong pricing power and cost discipline
- ✓ Revenue growing at above 15% CAGR over 5 years reflects strong business momentum
- ✓ Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- ✓ Consistently high return on equity above 20% demonstrates exceptional capital efficiency
- ✓ Net profit compounding at above 20% over 5 years creates significant shareholder value

Cons

- ✗ Free cash flow negative for 3 consecutive years raises concern about cash generation quality
- ✗ Gross debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility
- ✗ Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk

Capital Allocation: Distress